

MARKETING FINALS REVIEW CHEAT SHEET

Evaluate marketing strategy of one brand

Guideline

- market position, target audience, and product attributes
- competitive landscape
- key consumer. And behaviors and preference
- Pricing, distribution, and promotional strategy
- strategic challenges and opportunities

strategy STP

STP is segmentation, targeting, and positioning. 4P is product price place promotion

- **Segmentation, customer segmentation:** separate customers into segments
- **Target:** select the target segment we are looking for, and targeting strategy
- **Positioning:** brand positing, and why our product is unique

Segmentation

- **Demographics (who they are):** Practical attributes of people. Age, gender, income, marital status, and ethnic background
- **Psychographics (how they live their life):** Personality and attitudes. Activities, attitudes, personality and values
- **Behavioral (how they use products):** How the product is used, used for what. Benefits, usage rate, patterns
- **Geographics (where they are):** areas where customers live, area in terms of customer segment, how large is our customer segment. Local, national, international, regional

Customer segments: After segmentation, we figure out the behavioral factors of each segment, to figure out what do they want?

Evaluating market segment

we evaluate these factors based on segments: size, growth, profit margin, competition, strategy to enter, resource needed, capability (expertise, and capable of entering, are we good enough?)

Market attractiveness factors:

- Customer needs and behavior: Are there unmet/underserved needs we can satisfy? Is there a pain point we can solve?
- Market, segment size, growth rate: Market potential in units, revenue, number of potential customers, Growth rate. Is market potential strong enough? Worth it?
- Macro environment, are they favorable?: External factors: Sociocultural, economic, political, technological, environmental. do they help us or get in the way?

Competitive-position factors:

- opportunity for competitive advantage: can we differentiate? If we get in, can we be unique?
- stage of competing product in product life cycle

Firm and competitor and capabilities and resource:

- Management strength, Financial resources, brand image, relative market share. Is our firm strong enough in terms of resources to compete? Is our brand image strong enough? Market share as well, what is our market share?
- attractiveness of industry we would compete: Threat of new entrants/substitutes, buyer, power, supplier power... Is the industry we would compete in worth it? Does it make money? Enter fees, and cost and size of the industry, from small time application to a barn business

Select target segment

Factors which influence target segment coverage: company resources, product variability, market variability, product life cycle, competitor's strategy.

• Undifferentiated (mass) / Mass marketing:

- For: Convenience, and economical economy of scale
- Against: Inefficient, expensive promotional cost trying to reach everyone. Ineffective, harder to satisfy everyone, cant be all things to people

• Differentiated (various segments at once):

- For: remain competitive, various offerings to various segments would give good customer satisfaction, response to change in the market, product in changed segment, changed, not entire company
- Against: High cost for specialized product

• Concentrated (niche):

- For: Small firm with limited resource (can focus only on one segment), Small market, means less competitor, Niche customers stay loyal and willing to pay higher, because we serve them well ==strong market position ==and reputation
- Against: Slow growth, low barrier to entry, brand image got stuck to that segment, limits marketing potential

• Micromarketing (local, individual):

- For: market effectively in regional and local, Build relationship with customer, Support technology available for specific targets

- Against: Loose economy of scale, Vague brand image ==because try to do ==many areas and be too different

Positioning

Identify two important attributes which makes our brand stand out compared to competitor. Positioning for each target segment. Product differentiation doesn't last long since it can be copied (like Pepsi and coke). Position means brand image which makes us stand out, "perception, impression, and feelings"

- **Differentiation attributes:** become unique. products, services, personnel (employees, good talking, smart employee, responsiveness), channel (coverage, performance, access location), Image.
- **Position base:** based on what, the position can be based on: attributes, benefit, price/quality, competition, use/application, product/user, product class.
- **Positioning statement:** explain your product with key features, solve customer's problems, delivery specific benefit, why they should buy from me? Product, solution, benefits, why us?

4P tactics: Product

evaluate product based on customer needs and product characteristics.

Total offer

product can offer many benefits, but there are level to ts

- Core benefit, core of our product
- Expected attributes: many some good things, indirect that come with it
- Add-on attribute: people don't care, but good to have

Communicate "benefits" not feature. attributes: MacNeo, light, good battery life, small. Say goodbye to heavy bag, work anywhere you want, fit in any bag. Anywhere, anywhen, however you want.

Product characteristics influence adoption rate

When people will adopt it?

- relative advantage: far better than existing technology
- Observability: demonstration, Youtube how-to-use
- compatibility: integrated with legacy system
- complexity: hard to understand and use?
- Trial availability: self-explanatory

ok -> has potential -> peak sales -> gone

Product life cycle

Product passes through 4 stages, each stage poses different challenges and require different strategies.

Characteristics	Introduction	Growth	Maturity / Peak	Decline
Sales	Low Sales	Rapidly rising	Peak	Declining
Costs	High cost per customer	Avg cost per customer	Low cost per customer	Low cost per customer
Profits	Negative	Rising	High	Declining
Customers	Innovators	Early adopters	Middle majority	Laggards
Competitors	Few	Growing	Starting to decline	Declining
Marketing Objectives	Create awareness and induce trial	Expand market share, segment	Maintain profit, Defend market share	Reduce cost, Delete, harvest, rejuvenate

Extending product life cycle

- market modification: increase frequency of use (lower product performance??), increase target segment, target other people or increase size of segment finding new user
- product modification: alter characteristics, new mod, reposition product (change image), rebrand (change name, logo)

4P tactics: Price

price perception, setting, strategy and justification

Price perception

Value = perceived benefit - perceived cost. is it even worth it?

effective price setting is understating how much customer values our product and set the right price

- price vs reference price (past price)
- cost: raw materials, advertisement, rent
- purchase context: distribution

Factors which affect price decision

- **Internal:** marketing objective, what do we want, luxury or pull-rope. Market share, volume, profit, prestige. marketing strategy: STP, mk mix. production cost, organizational factor.
- **External:** consumer: customer's value, market size, and price sensitivity. competition: competition's pricing. Economic and regulatory factor law.

Select an approximate price level using 3C method

Prices are based on three dimensions cost, customer value, and competition. "customer, competition, cost"

- Customer perceptions: perception of value, price ceiling: no demand above this price

- Competition: set price based on competitors' strategies, costs, prices, and market offerings
- Cost: production cost, no price below this

New product pricing

- **market skimming price:** high price, profit oriented. image, quality, inelastic demand, little or no competition. မိတ်ဆက်ဈေးနှုန်း Ysev
- **market-penetration pricing:** low price, market share, economy of scale, elastic demand, high competition. ရှိ လူသိလိမ့်ကလို့ local ice cream

Product mix pricing

- pricing, selling multiple products that are related to each other to maximize profit. "macbook and hub"

Price adjustment strategy

- discount and allowancde
- segmented pricing: Different customers, different locations, different products
- psychological pricing: 99.99
- promotional pricing: temporary reduce price for sell surge
- geographical pricing: price change based on location
- dynamic pricing: change price to satisfy characteristics and needs of individual customers based on situations
- international pricing: adjusting prices based on international market

4P tactics: Place (Distribution)

Distribution channel that fits with the brand

Distribution channel functions

- **transactional function:** help buy wholesale, resell, take risk of stock stuck moving money from customers to firm
- **logistical function:** Assorting: find products from many sources to serve customer. Storing. Sorting: purchase products in large quantity and break it down into smaller amounts desired by customers. Transport: physically move products to customer
- **Facilitating function:** financing: UFund. grading: inspect test and assign products based on quality. marketing information: providing into to customers and supplier, including competitive condition and trends

Identify major channel alternaties

- number of levels
- direct vs indirect channel (short, long)
- dual/multi distribution
- Type of intermediaries: types of wholesaler (outlet, merchant, agent), retailer (store, sales force, and online/mobile/machines)
- Number of intermediaries (intensity at each level): Intensive distribution, Exclusive distribution, Selective distribution

Distribution, advantages and disadvantages

- **Direct:** Identifiable customer, product requires extensive demonstration, wide ==variety of offerings ==for the target market, ==Sufficient resources ==available, Intermediaries not available or not capable.
 - Pros: High quality contact, control marketing mix (price promotion, service, quality)
 - Cons: Smaller coverage, take longer time to penetrate, has fixed cost, limited solution
- **Indirect channel:** Large no. of customers, ==hard to reach ==customers, product serve market in different areas, product used heavily, frequently, insufficient resources, intermediaries ==perform more ==efficiently and cheaply.
 - Pros: Large coverage, quick penetration time, Utilize channel's expertise and resources and knowledge
 - Cons: High cost, smaller margin, ==hard to control ==channel, reliant on channels

Levels of intermediary

- **1-level:** Firm -> retail -> consumer. durables goods, electronics, insurance. Pros: manufacturers cover wide area ==while retaining ==control
- **2-level:** Firm -> wholesaler -> retail -> consumer. fast moving consumer goods (FMCG), markets spread in large area, works best if retailers are ==independent ==from each other, value of individual purchase is small, frequency of purchase is high
- **3-level:** firm -> ==agent -> wholesaler ==-> retailer -> consumer. Sold by large company, ==Wholesalers scattered ==across the country

Dual distribution and multi-channel

FMCG, garment, durable industry. Dual: direct + indirect. Multi: use various channels simultaneously to reach firm's target market.

- **Objectives:** To ==maximize firm's coverage ==in marketplace, Increase cost-effectiveness ==of firm's ==marketing effort
- **Occasion:** Multi-brand, Geographical factor, Large and small retailer, customers in different segment
- **Consideration:** The channel provides incremental sales compared to existing sales

- **Pros:** Reach more and different kinds of customers. Reach diverse customers, Tailor offerings to the specific needs of diverse segment, the more channels, the more loyal customers
- **Cons:** Hard to manage and control Price quality promotion, compete among channels, causing potential conflict. Dell stuck in the middle between retailers and sales representative

It's important to integrate various channels to ensure consistent, seamless experience across channels. Omni-channel.

Different types of retail stores

- **shopping mall:** department store sell goods, like Central
- **supermarket:** sell food
- **hypermarket:** combination of supermarket and department store
- **convenience store**
- **specialty store:** Store which sells a certain type of product. Boots, Watson, IKEA, HomePro
- **Warehouse store:** Wholesale warehouse store, sell in bulk. Makro and Costco?
- **Community mall:** Mall that is tied to local area, where locals hang out
- **Pop-up store:** Small stores that pop up in events to attract people to their main store

4P tactics: Promotion (Communication)

Communication : target audience

- **primary audience:** group we want to reach
- **secondary audience:** may not be interested in product, but can influence primary audience

"target audience affects what will be said, how, when, where it will be said, and who will say"

Communication : Designing a message

objectives: increase brand awareness, enhance brand image, interest, stimulate purchase, repurchase, referral. "Objectives may be set to move buyers through adoption process". Information : awareness, interest -> attention. Persuading : evaluation, trial -> desire. Reminding : decision, confirmation -> action. We need a clear impactful "big idea" message, memorable.

Communication : uncover an insight

message has to be: creative, big, memorable, differentiated to stand out generate attention. big idea has 3 elements: Insight about problem/ motivation, brand connection, key message. research target audience and product category to find truth about customer's pain point ==motivation forces ==behind one's thoughts/behaviors. Example: Electric razor is less masculine. Diet coke is for woman. high school students wearing makeup as a form of investment. "When you are hungry, it's hard to concentrate and hard to focus on what matters. You don't perform to the level you normally do because there's something missing"

[Image: Nicorette Ad]

QUITTING SMOKING MASSIVELY SUCKS. REALLY SUCKS. KINDA SUCKS. SORTA SUCKS.

New Nicorette 7. Dissolves 3x faster than other lozenges to minimize cravings.

Communication: find brand connection

insight (the thought behind it, deep)enables a brand to come up with solutions/product to challenge ==consumer's ==pain point. List unique features and benefits of products that are relevant to the insight that competitors cannot imitate. "snicker is the perfect way to get back to being yourself. Packed full of peanuts, caramel, nougat, and milk chocolate. Snickers satisfies your hunger - all in a quick and easy-to-carry snack"

Communication: articulate the idea

call-to-action needs a hook, one sentence, find a way to phrase the sentence to hook or grab attention. "You're not you when you're hungry" "There is a reason why Johnnie Walks, don't drink and drive"

Communication: channel

To get story to target audience, it's essential to figure out how to get them to interact with you. touch point where, when, and how story is shared. how can you share the message with maximum exposure?

[Image: THE NEW CX: THE 5A'S CUSTOMER PATH]

aware:

Customers are passively exposed to brands from past experience, marketing communications, and/or advocacy of others.

appeal:

Customers process the messages they are exposed to - creating short-term memory or amplifying long-term memory - and become attracted only to a short list of brands.

ask:

Prompted by their curiosity, customers research for more information from friends and family, from the media, and/or directly from the brands.

act:

Reinforced by more information, customers decide what brand to buy and use it.

advocate:

Over time, customers may develop a sense of strong loyalty to the brand, as reflected in retention, repurchase, and ultimately advocacy to others.

5A and Touchpoints		
Stage	Characteristics	Touchpoints
Aware	- Introduce the brand to potential customers - Focus on visibility and reach - Goal: Capture attention	- Traditional ads, Digital ads, PR
Appeal	- Build interest and connection - Engage emotions or logic - Goal: Generate curiosity and preference	- Branded Content, Influencer Marketing, PR
Ask	- Customers seek more information - Build trust and answer questions - Goal: Equip customers to make informed decisions	- Digital Tools (Websites, comparison sites, FAQs), Reviews, Interaction (Chatbots, live shopping, social media Q&A)
Act	- Drive conversions - Reduce friction during purchase - Goal: Encourage action with compelling offers	- Sales Promotions, Direct Marketing, Retargeting Ads, In-store
Advocate	- Satisfied customers share positive experiences - Focus on loyalty and word-of-mouth - Goal: Transform customers into brand ambassadors	- Loyalty Programs, UGC, Referral Programs, Community

Awareness tools		
Objective	IMC Tools	Details
Create brand recognition	- Advertising: TV ads, radio ads, YouTube pre-rolls, digital display ads.	Broad reach to mass audiences; focuses on memorable slogans, visuals, and jingles.
Build visibility, Generate buzz, Drive discovery, Optimize visibility online	- Social Media Marketing: Viral challenges, branded hashtags. - Public Relations (PR): Press releases, media coverage, influencer mentions. - Content Marketing: Blogs, infographics, brand storytelling. - Search Engine Marketing (SEM): Paid search ads, SEO strategies.	Encourages engagement through shareable content; hashtags like #ShotOniPhone create organic visibility. Announce new products or campaigns to the press, leveraging influencers for earned media coverage. Provides educational or entertaining content to attract potential customers; builds SEO visibility. Paid ads appear on search engines; SEO ensures the brand ranks high in organic search results.
Catch attention in public	- Outdoor Advertising: Billboards,	Visually impactful in high-traffic areas, driving immediate attention.

	transit ads, posters.	
Act tools		
Objective	IMC Tools	Details
Drive conversions, Trigger immediate action, Re-engage potential buyers, Simplify transactions, Build loyalty incentives	- Sales Promotion: Discounts, limited-time offers, free trials, gift-with-purchase. - Direct Marketing: Personalized email/SMS campaigns. - Social Media Retargeting Ads: Dynamic ads targeting cart abandoners. - Checkout Optimization: Buy Now Pay Later (BNPL), quick checkout options. - Loyalty Programs: Highlighting points earned or bonus rewards during purchases.	Create urgency and incentivize purchases with tangible benefits. Highlight exclusive offers or discounts to encourage immediate response. Use personalized ads to remind users of products they viewed or abandoned in their cart. Reduce friction during the purchase process with easy payment options. Encourage repeat purchases by offering rewards for every transaction.

[Image / Slide: Marketing Campaign]

- To aid the communication planning process, marketing managers often use a campaign approach e.g. Just do it, Get Mac, Real beauty, A diamond is forever
- **A campaign** is a planned, coordinated series of marketing communication efforts built around a single theme or idea and designed to reach a particular goal (e.g. increase awareness, change attitudes or behavior)
 - The theme may take the form of a slogan e.g. Sharing a Coke.
 - The theme may refer to a stage in the product life cycle e.g. McDonald's All-Day Breakfast rollout
- In a successfully operated campaign, all activities and tools will be well coordinated to build on one another and increase the overall impact. A single campaign may include:
 - **Advertising:**
 - A series of ads posted on the Website, YouTube, Facebook, and other social media
 - **Public relations:**
 - A press release announcing something newsworthy in connection to the campaign focus, objectives, and target segment(s)
 - **Direct marketing:**
 - Direct mail sent to target segments, reinforcing the messages from the ads
 - **Sales promotions:**
 - In-store display materials reflecting the same messages and design as the ads, emphasizing point-of-sale impact
 - **Personal selling:**
 - Preparation for customer sales representatives about the campaign to equip them to explain and demonstrate the product benefits stressed in advertising

[Case Study: Dyson]

Market Position:

Despite being a premium player in the hair dryer market, Dyson faces the challenge of its high-priced flagship product, the 'Dyson Supersonic', making it intimidating for customers to try it in stores.

Strategic Placement:

Dyson brilliantly addresses this by setting up booths at events like Songkran, where people with wet hair are eager to try the product.

Marketing 5.0 Model:

Dyson effectively combines the first four stages of Philip Kotler's 5A's model (Aware, Appeal, Ask, Act) in one place, accelerating the fifth stage, Advocate.

Engagement:

This strategy creates an organic buzz and turns customers into brand advocates.

Lesson for Brands:

Identify your business's pain points that hinder the customer journey and strategically place your product to encourage trials and organic advocacy.